HW2, Economic Complexity
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Neffke, F. M. H., Otto, A., & Weyh, A. (2017). Inter-industry labor flows.
https://doi.org/10.1016/j.jebo.2017.07.003

The authors use German social-security data to investigate what inter-industry labour flows reveal about the industry-specific component of human capital and construct a labour-flow-based measure of skill relatedness. Earlier relatedness measures did not directly capture whether industries require similar skills and human capital, and the authors find that their remarkably stable skill-relatedness index is a stronger predictor of industries' regional growth and entry rates than input-output and co-location-based relatedness. They also find that labour flows are highly structured, however skill-related industries have uncorrelated growth patterns so labour surpluses of shrinking industries can typically be absorbed by growing industries in a skill-preserving way.

Hane-Weijman, E., Eriksson, R. H., & Rigby, D. (2022). How do occupational relatedness and complexity condition employment dynamics in periods of growth and recession?
https://doi.org/10.1080/00343404.2021.1984420

The paper shifts from industry relatedness to occupational relatedness and uses Swedish local-labour-market data. The authors look at regional employment growth in different phases of the business cycle and find that increasing occupational relatedness is associated with employment growth, especially before the 2008 financial crisis.

Mealy, P., & Teytelboym, A. (2022). Economic complexity and the green economy.
https://doi.org/10.1016/j.respol.2020.103948

The authors extend the relatedness literature as they use international trade data and product co-export proximity to identify which green products are close to a country's existing productive capabilities and predict future green export growth. Their measure follows Hidalgo et al. (2007), but the paper lists Neffke et al. (2017) as an alternative way to measure relatedness.

Gap statement: Previous work has shown that historical institutions can have persistent effects on regional inequality and economic development, but we do not know whether these legacies also shape present-day occupational mobility and workers' opportunities to transition into higher-quality jobs. This matters because limited upward job mobility could be one mechanism through which historical inequality persists.

Research question: Do regions exposed to historically extractive institutions have lower occupational mobility toward higher-skill and higher-wage occupations today?

Data and relevance: Panel data from a national survey containing information about occupation, industry, employment status and labour income (example: National Household Survey in Peru by the National Institute of Statistics and Informatics). The answer would be useful for policymakers, because it could show whether historically disadvantaged regions need more targeted retraining, education, or labour-market interventions.